

Principal is the portion of your payment that *actually* goes toward the balance of your loan. Depending on your interest rate and loan period, this number will vary—but it's usually a pretty miserable ratio when you start out. More likely than not, less than half of your mortgage payment is actually paying off your loan for the first five years or so.

And whose fault is that? Interest. Depending on your loan's interest rate, a big portion of your payment is eaten up by the bank. It sounds unfair, but bankers gotta bank.

Every month you pay down your loan, the portion going toward interest gets a little smaller—which means the portion going toward principal gets slightly bigger. Depending on the overall numbers, this shift can be a dollar or two each month. It doesn't seem like a lot, but it definitely supports the theory that buying a home is a long-term endeavor. The longer you stay in one property, the more efficiently you're paying down that loan.

We'll talk more about interest rates later in this chapter, but for now, all you need to know is that you want the lowest possible interest rate. The lower your rate, the lower your monthly payment.

The next piece is taxes—or more accurately, property taxes. This number is usually seen as an annual total, which is then split up evenly across twelve months. Lenders require that you escrow your taxes, which means you pay monthly into an account that will then pay the taxes for you. This is because property taxes have precedence over all other property liens, so if you go into foreclosure, property taxes are paid first. Lenders don't like being second in line, so they want to make sure these are paid.

The taxes on your property will likely get higher every year in line with appreciation, but the number shouldn't increase dramatically. This is important to note because if you're using a fixed-rate loan, you might think your payment will never change. While it's true that the P-I part of PITI never changes, the T-I part might shift since taxes and insurance can change on an annual basis.

As of 2019, the typical U.S. homeowner pays about \$2,280 per year in property taxes, but that total varies depending on where you live.⁵ To give you a taste of this ridiculously wide range, the taxes on an average property in Alabama are \$560 per year, while taxes on a house in New Jersey average \$7,840 per year. This number can vary even within a single neighborhood, so keep an eye out for it when you're browsing houses.